

## PREDICTIVE MODEL (Homeowner Risk Factor)

The Predictive Model is a tool used to aid in risk assessment. Based on the information captured, the model will assign a Homeowner Risk Factor. It will be calculated during the following lifecycles: new business, reinstatements with a lapse and renewals. (See page HO-4.1 for more information.)

| HO Risk Factor | KFB Risk Score |       |       |       |       |       |
|----------------|----------------|-------|-------|-------|-------|-------|
| Claim Score    | 1              | 2     | 3     | 4     | 5     | 6     |
| 0              | 1.533          | 1.440 | 1.260 | 1.142 | 0.959 | 1.208 |
| 1              | 1.461          | 1.397 | 1.173 | 1.061 | 0.909 | 1.122 |
| 2              | 1.418          | 1.357 | 1.122 | 1.004 | 0.879 | 1.061 |
| 3              | 1.375          | 1.288 | 1.071 | 0.946 | 0.826 | 1.000 |
| 4              | 1.305          | 1.220 | 1.010 | 0.899 | 0.805 | 0.950 |
| 5              | 1.213          | 1.131 | 0.950 | 0.851 | 0.760 | 0.900 |
| 6              | 1.157          | 1.076 | 0.900 | 0.828 | 0.739 | 0.875 |
| 7              | 1.102          | 1.023 | 0.875 | 0.804 | 0.717 | 0.850 |
| 8              | 1.047          | 0.995 | 0.850 | 0.780 | 0.696 | 0.825 |
| 9              | 1.019          | 0.969 | 0.850 | 0.780 | 0.696 | 0.825 |
| 10             | 0.992          | 0.942 | 0.825 | 0.757 | 0.674 | 0.800 |
| 11             | 0.965          | 0.915 | 0.825 | 0.757 | 0.674 | 0.800 |
| 12             | 0.965          | 0.915 | 0.825 | 0.757 | 0.674 | 0.800 |
| 13             | 0.965          | 0.915 | 0.825 | 0.757 | 0.674 | 0.800 |

## \*ROOF RATING FACTOR

The Roof Rating Factor is a rating component based on the age of the dwelling's roof. The factor will be calculated at new business, reinstatements with a lapse and renewals. (See page HO-4.2 for more information).

| Roof Age | Rate Factor |
|----------|-------------|
| -1       | 0.80        |
| 0        | 0.80        |
| 1        | 0.83        |
| 2        | 0.86        |
| 3        | 0.89        |
| 4        | 0.92        |
| 5        | 0.94        |
| 6        | 0.96        |
| 7        | 0.975       |
| 8        | 0.985       |
| 9        | 0.995       |
| 10       | 1.000       |
| 11       | 1.000       |
| 12       | 1.000       |
| 13       | 1.000       |
| 14       | 1.000       |
| 15+      | 1.000       |